could, privately and publicly: *The SDI is not a bargaining chip*.

George Shultz said it was questionable that development and testing of the SDI was permissible under the 1972 ABM treaty with the Soviets that the Senate had ratified and therefore was the law of the land. Cap argued for a broader interpretation of the treaty that, according to his experts, allowed us to develop and test certain elements of the system.

As these portions of my diary indicate, I sided with Cap:

> *July 17*
>
> . . . a big N.S.C. meeting on my letter to Gorbachev. Cap and George Shultz differ on some elements, such as what to say about the ABM treaty. On this I'm closer to Cap. I want to propose a new treaty for what we do if and when SDI research looks like we have a practical system.
>
> *July 18*
>
> Well, we finally came up with a letter to Gorbachev that I can sign. In fact, it's a good one and should open the door to some real arms negotiations if he is really interested.

While I was waiting for Gorbachev to respond to my new arms reduction initiative, KGB agents seized and imprisoned a Moscow correspondent for *U.S. News & World Report*, Nicholas Daniloff, and accused him of spying for the United States—shortly after we had arrested a Soviet spy in the United States.

The accusation was ridiculous. The circumstances of his arrest were virtually identical to those under which four other Americans had been seized in Moscow in the past after we'd arrested KGB agents in the United States—